difference to intrinsic value, it is a vitally important, and often counterintuitive, decision. Reinvestment will appear most attractive in peak years, and folly in trough years, but the reverse is usually the case because trough earnings follow peak earnings, and vice versa. Capital reinvested in peak years earns sub-normal returns as the business cycle moves toward a trough, and so is typically more valuable in shareholders' hands. Capital reinvested in trough years has the opportunity to earn super-normal returns as the business cycle moves toward a peak, but often little incremental capital can be harvested organically because earnings are in a trough. In another cruel irony, businesses find capital in abundance—both from retained earnings and outside investors—when they need it least and scarce when they need it most. Management teams can therefore distinguish themselves through the careful husbanding of capital over the business cycle, anticipating mean reversion at both peaks and troughs, and this is why Buffett insists that first-class businesses be accompanied by first-class management.

First-Class Management

Skilled managers maximize a business's intrinsic value by maximizing its return on invested capital, which means managing both the numerator (the return) and the denominator (the invested capital) over the course of the business cycle. In practice, this means paying out as much of the return as possible, and any fallow invested capital, to minimize the invested capital employed in the business. This reduces the size of the invested capital denominator and increases the ratio of return on invested capital. It also means avoiding investments that might incrementally increase earnings, but offer a return on invested capital below the threshold rate of return set by the market. Most managers, through their employment contracts, bonuses, and option grants, are *de facto* incentivized not to maximize the return on invested capital, but to maximize only the growth in the numerator—the earnings. To illustrate this odd phenomenon, Buffett asked his shareholders in 1985 to imagine a $100,000 savings account earning 8 percent interest and managed by a trustee who could decide each year what portion of the interest they were to be paid in cash.[43] Interest not paid out would be retained earnings added to the savings account to compound. The trustee set the pay-out ratio at one-quarter of the annual earnings. Under these assumptions, the savings account would contain $179,084 at the end of 10 years. Additionally, the annual earnings would have increased about 70 percent from $8,000 to $13,515 under this management. And, finally, their dividends would have increased commensurately, rising regularly from $2,000 in the first year to $3,378 in the tenth year. Buffett wryly observed, "Each year, when your manager's public relations firm prepared his annual